

terrible expert in this sense. But why would an expert systematically convince himself that he is not an expert? The reason Wes engages in this peculiar behavior is explained in a quote often attributed to Mark Twain, “It ain't what we don't know that causes us problems; it's what we know for sure that simply ain't so.”

An expert, or any market participant, must acknowledge his own fallibility and must constantly remind himself why he is flawed. This is very difficult to do consistently, since our natural inclination is to believe we are better than average. Unfortunately, on average, we are only going to be average. The ability to question one's own convictions, even when they are firmly held, turns out to be a very useful thing in investing.

The next example highlights how our minds can tell us something with 100 percent confidence, when in fact, what our mind is telling us is 100 percent incorrect.

[Figure 1.1](#) highlights this point.⁶ Stare at box A and box B in the figure. If you are a human being you will identify that box A is darker than box B.